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HEALTHCARE CHINA

China: the next Pfizer will be Chinese

China has rapidly become a leading hub for new innovative medicines, overtaking Europe and nearing the US. The country has become an innovation engine particularly in therapeutic areas such as oncology, immunology, antibody–drug conjugates (ADCs), bispecifics and cell/gene therapies. We therefore believe that the next Pfizer will be Chinese



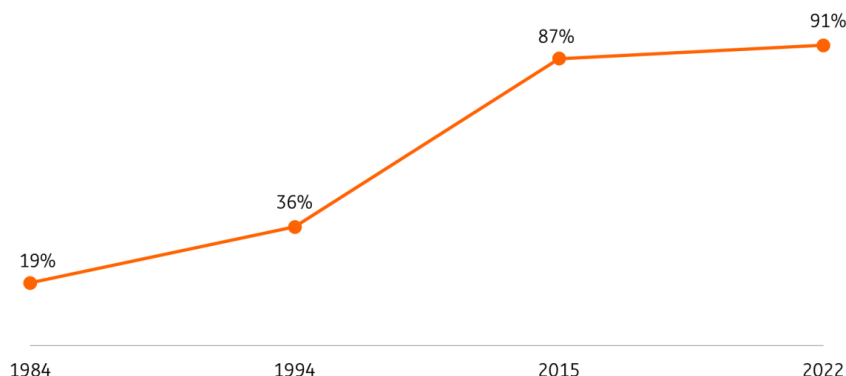
China's biotech ecosystem is rapidly advancing, transforming from a global manufacturing base into a leading source of innovative medicines

Past: manufacturing powerhouse

China's pharma sector was long defined by its manufacturing of low-cost APIs, intermediates and generic manufacturing. As patents on many medicines expired in recent decades, and generics grew to account for more than 90% of prescriptions, China's manufacturing prowess made the country central to global supply chains: it produces roughly 40% of the world's APIs and is therefore critically important for the contents of medicine cabinets globally. However, the country was not traditionally a major source of innovative medicines.

Generics have become much more important in recent decades

Generics as percentage of total US prescription drugs



Source: FDA, ING

Present: an increasingly important biotech hub

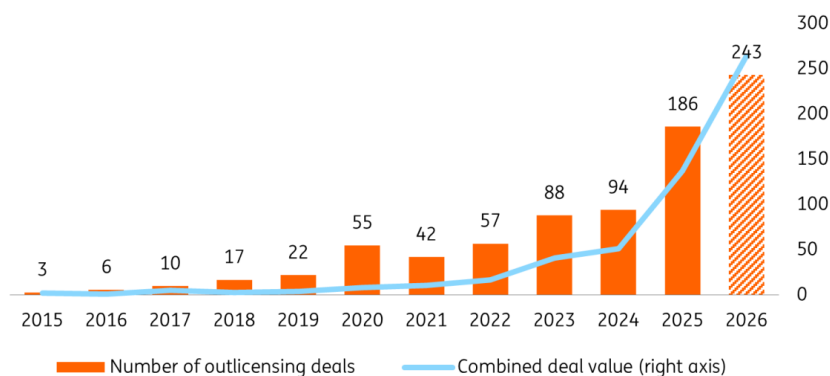
In recent years, China's position has changed significantly, with the country trading up the value chain to be Asia's most important biotech hub, accounting for 75% of all regional venture capital and private equity flows (Bain). We estimate that China alone accounts for roughly 33% of all new innovative molecules in global pipelines this year, which is a 29 percentage point increase from 4% in 2014.

China made this spectacular ascent by investing in fundamental research and its scientific talent pool, leveraging its economies of scale and conducting regulatory reforms. These regulatory reforms were conducted to integrate China into global drug development. They cleared approval backlogs, sped up reviews, and created accelerated pathways for innovative and urgently needed medicines. In addition, clinical trial inspections became more stringent to improve data credibility, while more foreign/multi-regional trial data were increasingly accepted.

These three factors led to a significant increase in outlicensing (i.e. a company that owns a drug asset grants another company the rights to develop, manufacture and/or commercialise that drug) between China and Western biotech and pharma companies. With each new deal adding assets to Western pharma's pipelines, while giving Chinese firms capital and credibility. Despite increased geopolitical tensions, we expect outlicensing to continue increasing. Based on new data from PharmCube, we expect total deal value to eclipse \$250bn this year. Meaning a 47% growth rate in average deal value.

Outlicensing to China continues to rise steeply

Number of outlicensing deals by Western drugmakers with Chinese counterparts and total deal value in US\$bn (right axis), 2026 forecast

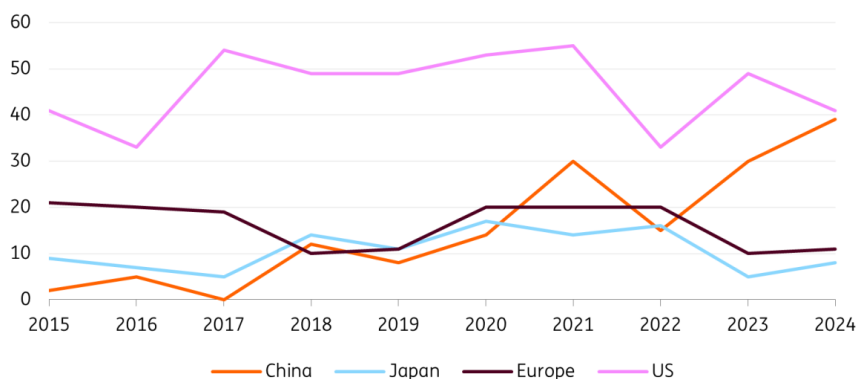


Source: Bloomberg, BMI, 2025 and forecast based on PharmCube, ING

In addition to outlicensing, clinical trials have risen significantly (China now surpasses Europe in the percentage of global clinical trials started) and China is even nearing the US in new global drug approvals as a result of its impressive ascent.

China is nearing the US in global drug approvals

Distribution of first global approvals of innovative drugs in absolute numbers, 2015-24



Source: Nature publication, BMI, ING

Future: a global supplier of innovation

China's course is clear: it is already a global powerhouse of innovation and will expand this role in the years to come. It is historically strong in the development of oncology drugs and will become a more important source of ADCs, bispecific, obesity, cell/gene therapies and immunology assets. This is good news for Big Pharma as it looks to refill pipelines ahead of

patent cliffs. Our main question is not whether Chinese pharmaceutical companies will reach global scale, but when they will do so without relying on Western partners. China's car industry offers a clear precedent here. We therefore believe that the next Pfizer will be Chinese.

Conversely, all Western pharma companies need a China strategy: will they partner given China's manufacturing prowess, the depth of its scientific talent pool, economies of scale and speed, or will they play defence? China's rise is so undeniable that this is a question pharma boardrooms must answer.

The BIOSECURE Act shows that Washington increasingly views biotech not just as a healthcare sector, but as a strategic industry tied to national security, data security and supply-chain resilience. That will not stop Western pharma from seeking Chinese innovation, but it will make partnerships more complex, selective and politically sensitive – especially where Chinese CROs/CDMOs, genomic data or federally funded US contracts are involved.

In short, China's biotech momentum is real – and the winners across all continents will be those that can navigate politics as well as science while turning a torrent of assets into globally trusted medicines.

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